OFFICE OF THE ASSISTANT SECRETARY OF WAR
3000 DEFENSE PENTAGON
WASHINGTON, DC 20301-3000

ACQUISITION
AND SUSTAINMENT

In reply refer to
DARS Tracking Number: 2026-O0052

MEMORANDUM FOR COMMANDER, UNITED STATES CYBER COMMAND (ATTN: ACQUISITION EXECUTIVE)
COMMANDER, UNITED STATES SPECIAL OPERATIONS COMMAND (ATTN: ACQUISITION EXECUTIVE)
COMMANDER, UNITED STATES TRANSPORTATION COMMAND (ATTN: ACQUISITION EXECUTIVE)
DEPUTY ASSISTANT SECRETARY OF THE ARMY (PROCUREMENT)
DEPUTY ASSISTANT SECRETARY OF THE NAVY (PROCUREMENT)
DEPUTY ASSISTANT SECRETARY OF THE AIR FORCE (CONTRACTING)
DEFENSE AGENCY AND DOD FIELD ACTIVITY DIRECTORS

SUBJECT: Class Deviation—Revolutionary Federal Acquisition Regulation (FAR) Overhaul, Defense FAR Supplement (DFARS) Part 270

Effective immediately, contracting officers must use—

- The attached DFARS part 270, Defense Contracting Programs, in lieu of the text codified at 48 CFR chapter 2; and

- The attached DFARS Procedures, Guidance, and Information (PGI) 270, Defense Contracting Programs, in lieu of the PGI text published on the Defense Pricing, Contracting, and Acquisition Policy web page at *https://www.acq.osd.mil/dpap/dars/dfarspgi/current/index.html*.

This class deviation implements the following:

- Section 2 of Executive Order (E.O.) 14275, Restoring Common Sense to Federal Procurement, which establishes the policy that the FAR "should only contain provisions required by statute or essential to sound procurement, and any FAR provisions that do not advance these objectives should be removed."

- Section 4(a) of E.O. 14265, Modernizing Defense Acquisitions and Spurring Innovation in the Defense Industrial Base which requires the Secretary of War to eliminate or revise any unnecessary supplemental regulations or any other internal guidance, such as relevant parts of the Financial Management Regulation and DFARS.

- The Office of Management and Budget memorandum, M-25-26 issued on May 2, 2025, titled, Overhauling the Federal Acquisition Regulation, which provided additional guidance to federal agencies regarding the FAR overhaul.

- Revision to DFARS subpart 270.1, Pilot Program to Incentivize Contracting with Employee-owned Businesses, to remove the requirement for a justification and approval. FAR 6.103, Other than full and open competition, clarified direction at FAR 6.103-5, Authorized or required by statute, that contracts awarded using this authority do not require justifications and approvals described in FAR 6.104 (except for certain sole-source 8(a) contracts).

This class deviation remains in effect until rescinded or incorporated into the DFARS and DFARS PGI. Address inquiries regarding this class deviation to *osd.pentagon.ousd-a-s.mbx.dfars@mail.mil*.

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John M. Tenaglia
Principal Director,
Defense Pricing, Contracting, and
Acquisition Policy

Attachments:
As stated

PART 270—DEFENSE CONTRACTING PROGRAMS

270.000 Scope of part.
This part contains DFARS coverage of defense-specific contracting programs that do not properly fall under DFARS subchapter D, Socioeconomic Programs, and neither implement nor supplement existing FAR part 19 or parts 22 through 26.

SUBPART 270.1—PILOT PROGRAM TO INCENTIVIZE CONTRACTING WITH EMPLOYEE-OWNED BUSINESSES

270.100 Scope of subpart.

(a) This subpart implements a pilot program authorized by section 874 of the National Defense Authorization Act (NDAA) for Fiscal Year (FY) 2022 (Pub. L. 117-81), to use noncompetitive procedures for certain follow-on contracts to qualified businesses (see 270.101).

(b) The authority to award contracts under this subpart expires on December 27, 2029 (section 872 of the NDAA for FY 2024, Pub. L. 118-31).

270.101 Definition.
As used in this subpart—

Qualified business means an S corporation as defined in 26 U.S.C. 1361(a)(1) for which 100 percent of the outstanding stock is held through an employee stock ownership plan as defined in 26 U.S.C. 4975(e)(7).

270.102 Policy.

(a) The contracting officer may only award one sole-source, follow-on contract to the incumbent contractor if—

(1) The contractor has represented that it is a qualified business; and

(2) The contract is for the continued development, production, or provision of products or services that are the same as or substantially similar to those procured under the prior contract awarded to the contractor by or for DoD.

(b) The contract must state the award is made in accordance with FAR 6.103-5 and section 874 of the NDAA for FY 2022 (Pub. L. 117-81, 10 U.S.C. 3204 note), Pilot Program to Incentivize Contracting with Employee-Owned Businesses.

270.103 Limitations.

(a) Participation in the pilot program is subject to approval by the Under Secretary of Defense (Acquisition and Sustainment), Office of the Principal Director, Defense Pricing, Contracting, and Acquisition Policy (Contract Policy). Only a contracting officer may submit an application to participate in the pilot program. See PGI 270.104(a).

(b) Contracting officers may only award—

(1) One sole-source, follow-on contract per predecessor contract to the incumbent contractor unless waived by the head of the contracting activity, delegable to no lower than one level above the contracting officer;

(2) Contracts to qualified businesses that have a minimum performance rating of satisfactory for the predecessor contract in the Contractor Performance Assessment Reporting System (see FAR 42.1102); and

(3) Contracts to qualified businesses that have certified they will limit subcontracting to not more than 50 percent of the amount paid by the Government for contract performance, except—

(i) For subcontracts to other qualified businesses;

(ii) When the contract is for products and the subcontract is for materials unavailable from another qualified business; or

(iii) When the head of the contracting activity, delegable to no lower than one level above the contracting officer, waives the limitation.

270.104 Procedures.
See PGI 270.104 for procedures and information concerning the pilot program.

270.105 Solicitation provisions and contract clause.

(a) Insert the provision at 252.270-7000, Pilot Program to Incentivize Contracting with Employee-Owned Businesses—Representation, in solicitations, including solicitations using FAR part 12 procedures for the acquisition of commercial products and commercial services, except for solicitations solely for the acquisition of commercially available off-the-shelf (COTS) items, that include the clause at 252.270-7002, Pilot Program to Incentivize Contracting with Employee-Owned Businesses.

(b) Unless waived in accordance with 270.103(b)(3), insert the provision at 252.270-7001, Pilot Program to Incentivize Contracting with Employee-Owned Businesses—Subcontracting Certification, in solicitations, including solicitations using FAR part 12 procedures for the acquisition of commercial products and commercial services, except for solicitations solely for the acquisition of COTS items, that include the clause at 252.270-7002, Pilot Program to Incentivize Contracting with Employee-Owned Businesses.

(c) Insert the clause at 252.270-7002, Pilot Program to Incentivize Contracting with Employee-Owned Businesses, in solicitations and contracts, including solicitations and contracts using FAR part 12 procedures for the acquisition of commercial products and commercial services, except for solicitations and contracts solely for the acquisition of COTS items, for approved pilot program acquisitions.

PART 252—SOLICITATION PROVISIONS AND CONTRACT CLAUSES

SUBPART 252.2—TEXT OF PROVISIONS AND CLAUSES

252.270-7000 Pilot Program to Incentivize Contracting with Employee-Owned Businesses—Representation.
As prescribed in 270.105(a), use the following provision:

PILOT PROGRAM TO INCENTIVIZE CONTRACTING WITH EMPLOYEE-OWNED BUSINESSES—REPRESENTATION (NOV 2024)

(a) *Definition.* As used in this provision, qualified business has the meaning given in the Defense Federal Acquisition Regulation Supplement 252.270-7002, Pilot Program to Incentivize Contracting with Employee-Owned Businesses, clause of this solicitation.

(b) *Representation.* The Offeror represents that it is a qualified business.

(End of provision)

252.270-7001 Pilot Program to Incentivize Contracting with Employee-Owned Businesses—Subcontracting Certification.
As prescribed in 270.105(b), use the following provision:

PILOT PROGRAM TO INCENTIVIZE CONTRACTING WITH EMPLOYEE-OWNED BUSINESSES—SUBCONTRACTING CERTIFICATION (NOV 2024)

(a) *Definition.* As used in this provision, *qualified business* has the meaning given in the Defense Federal Acquisition Regulation Supplement 252.270-7002, Pilot Program to Incentivize Contracting with Employee-Owned Businesses, clause of this solicitation.

(b) *Limitations on subcontracting.* The Offeror certifies that in performance of the contract it will not expend more than 50 percent of the amount paid under the contract on subcontracts unless—

(1) The subcontract is awarded to a qualified business;

(2) The contract is for products and the subcontract is for materials not available from another qualified business; or

(3) A waiver is granted.

(End of provision)

252.270-7002 Pilot Program to Incentivize Contracting with Employee-Owned Businesses.
As prescribed in 270.105(c), use the following clause:

PILOT PROGRAM TO INCENTIVIZE CONTRACTING WITH EMPLOYEE-OWNED BUSINESSES (NOV 2024)

(a) *Definition.* As used in this clause—

Qualified business means an S corporation as defined in 26 U.S.C. 1361(a)(1) for which 100 percent of the outstanding stock is held through an employee stock ownership plan as defined in 26 U.S.C. 4975(e)(7).

(b) *Limitations on subcontracting*. In performance of the contract, the Contractor shall not expend more than 50 percent of the amount paid under the contract on subcontracts, unless—

(1) The subcontract is awarded to a qualified business;

(2) The contract is for products and the subcontract is for materials not available from another qualified business; or

(3) A waiver is granted.

(c) *Reporting requirement*. Not later than 30 days after the end of the contract period of performance, the Contractor shall submit to the Contracting Officer the following information in writing:

(1) The number of years the Contractor has been wholly-owned by its employee stock ownership plan.

(2) Challenges, if any, the Contractor experienced in attracting and retaining a talented workforce in a competitive market due to the Contractor's corporate ownership structure.

(3) Challenges, if any, the Contractor experienced that hinder its ability to contract with DoD to scale its technologies and capabilities due to the Contractor's corporate ownership structure.

(4) Challenges, if any, the Contractor experienced, due to its corporate ownership structure, in obtaining capital necessary to bridge funding gaps, for example, between prototype demonstration and full-scale development.

(End of clause)

PGI 270—DEFENSE CONTRACTING PROGRAMS

PGI 270.1—PILOT PROGRAM TO INCENTIVIZE CONTRACTING WITH EMPLOYEE-OWNED BUSINESSES

PGI 270.104 Procedures.

(a) Contracting officers may submit applications for participation in the pilot program to OUSD(A&S), Defense Pricing, Contracting, and Acquisition Policy (DPCAP) (Contract Policy) (DPCAP/CP) via email at *osd.pentagon.ousd-a-s.mbx.dpc-cp@mail.mil*. The application must include the following:

(1) The cognizant contracting activity, including the department or agency, command, awarding contract office, and program office.

(2) A copy of the predecessor contract and modifications, except funding and administrative modifications, and indicate if such contract was awarded pursuant to DFARS 270.1.

(3) A description of the proposed follow-on requirement, including the product or service, quantity, and period of performance.

(4) The anticipated contract value.

(5) A copy of any waiver(s) issued.

(b) DPCAP/CP will respond to the contracting officer within 30 days of receipt of the application.

(c) Contracting officers must not issue a solicitation prior to receipt of DPCAP/CP approval of participation in this pilot program.

(d) Not later than 60 days after the end of the period of performance of the contract, the contracting activity must submit to DPCAP/CP via email to *osd.pentagon.ousd-a-s.mbx.dpc-cp@mail.mil*—

(1) The contractor's response submitted to the contracting officer pursuant to the clause at DFARS 252.270-7002, Pilot Program to Incentivize Contracting with Employee-Owned Businesses; and

(2) Information from the contracting officer as follows:

(i) Summary of contractor performance on the predecessor contract.

(ii) Summary of contractor performance on the follow-on contract.

(iii) Identification and discussion of any benefits or disadvantages the contracting activity, department, or agency experienced using the pilot program.

(iv) Any best practices the department or agency implemented as a result of the pilot program.

(v) Any other information the department or agency would like to share regarding its experience utilizing the pilot program.